RESERVE BANK & RBIC COMMERCIAL LOAN COMPLIANCE MAN

CREDIT RISK ASSESSMENT, STATUTORY NORMS & PRUDENTIAL GUIDELINES

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SECTION 1: BORROWER STATUTORY ELIGIBILITY & CRILC VERIFICATION

1.1 Legal Entity Identifier (LEI): Mandatory for all aggregate exposures of INR 50 Crores / $10M and above.
1.2 CRILC Verification: Mandatory pre-sanction screening of Central Repository of Information on Large Credits.
1.3 Willful Defaulters & Non-Cooperative Borrowers: Zero exposure permitted to entities on RBI / CIBIL suit-filed lists.
1.4 KYC & Anti-Money Laundering (AML): Ultimate Beneficial Ownership (UBO) identification for stakes > 10%.
1.5 Priority Sector Lending (PSL): Target 40% of Adjusted Net Bank Credit (ANBC) across Agriculture and MSME.

1.6 Statutory Restrictions: Section 20 of Banking Regulation Act prohibits loans against bank's own shares and credit facilities to directors, senior executives, or their closely held corporate interests without Board approval.

1.7 Red-Flag Indicators: Immediate escalation if borrower exhibits diversion of funds, unhedged foreign exchange exposure exceeding 25% of net worth, or unexplained auditor resignations within the preceding 24 months.

SECTION 2: MANDATORY FINANCIAL BENCHMARK RATIOS & UNDERWRITING

2.1 Debt Service Coverage Ratio (DSCR):

Minimum average DSCR for commercial term loans is strictly set at 1.50x over the entire loan tenure.
No single annual projected DSCR shall dip below 1.25x under stressed sensitivity analysis scenarios.

2.2 Current Ratio & Working Capital Liquidity:

Minimum Current Ratio is established at 1.33x for operating cash credit and overdraft commercial facilities.

2.3 Total Outside Liabilities to Tangible Net Worth (TOL / TNW):

Maximum allowable TOL/TNW leverage ratio is capped at 3.50x for manufacturing and 4.00x for trading sectors.

2.4 Interest Coverage Ratio (ICR):

EBITDA divided by gross interest expense must maintain a minimum threshold of 2.00x at all quarterly reviews.

2.5 Promoters Equity & Margin Money Contribution:

Promoters must infuse minimum 25% of project cost upfront as unencumbered equity before first debt drawdown.

2.6 Working Capital Assessment Methods:

Turnover Method (Nayak Committee) applicable for limits up to INR 5 Crores (20% of projected annual gross turnover).
Cash Budget Method mandatory for seasonal industries, construction contractors, and software exporters.

SECTION 3: LOAN-TO-VALUE (LTV) LIMITS & COLLATERAL SECURITY NORMS

3.1 Commercial Real Estate (CRE) LTV Limits:

Maximum LTV for Commercial Real Estate and Office Construction loans is capped at 75% of realizable value. Appraisal valuations must be conducted by two independent empanelled registered valuers for loans > INR 10 Crores.

3.2 Residential Housing Loan LTV Framework:

- Loans up to INR 30 Lakhs ($40k): Maximum LTV of 90% (Risk weight: 35%).
- Loans above INR 30 Lakhs up to INR 75 Lakhs: Maximum LTV of 80% (Risk weight: 50%).
- Loans above INR 75 Lakhs: Maximum LTV of 75% (Risk weight: 75%).

3.3 Mandatory CERSAI Registration:

All equitable and registered mortgages on immovable collateral must be registered with CERSAI within 30 days. Failure to complete CERSAI filing within 30 days results in mandatory audit classification as Documentation Defect.

3.4 Title Search & Legal Scrutiny Reports (TSR):

Clear and marketable title search is mandatory for continuous 30-year chain of ownership from approved panel lawyers.

3.5 Insurance Coverage & Stock Audits:

Comprehensive fire, earthquake, and flood insurance with Bank Hypothecation Clause mandatory for 100% of collateral. Annual physical stock and book-debt inspection by independent Chartered Accountants required for limits > INR 5 Crores.

SECTION 4: PRUDENTIAL ASSET CLASSIFICATION & PROVISIONING NORMS

4.1 Special Mention Account (SMA) Early Warning Sub-Categories:

- SMA-0: Principal or interest payment overdue between 1 to 30 days.
- SMA-1: Principal or interest payment overdue between 31 to 60 days (Escalate to Joint Lenders Forum).
- SMA-2: Principal or interest payment overdue between 61 to 90 days (Mandatory CRILC reporting & asset review).

4.2 Non-Performing Asset (NPA) Classification Criteria:

An account is classified as NPA if interest or principal instalment remains overdue for greater than 90 days.
Out of Order Status: CC/OD account is NPA if outstanding balance continuously exceeds sanction limit for 90 days.

4.3 Prudential Provisioning Requirements on Assets:

- Standard Assets: 0.40% general commercial; 1.00% Commercial Real Estate (CRE); 0.25% direct agriculture & SME.
- Substandard Assets (NPA up to 12 months): 15% provision on secured portion; 25% on unsecured exposure.
- Doubtful-1 (D1, 1-2 years as NPA): 25% secured provision + 100% unsecured provision.
- Doubtful-2 (D2, 2-3 years as NPA): 40% secured provision + 100% unsecured provision.
- Doubtful-3 (D3, >3 years as NPA): 100% provision on total exposure.
- Loss Assets: 100% complete write-off or provision.

SECTION 5: LARGE EXPOSURE FRAMEWORK (LEF) & CONCENTRATION LIMITS

5.1 Single Borrower Exposure Ceiling:

The sum of all exposure values of a bank to a single counterparty cannot exceed 20% of Bank's Tier 1 Capital base. In exceptional circumstances, Bank Board of Directors may approve additional 5% exposure up to 25% maximum.

5.2 Connected Group Counterparties Limit:

Total exposure to a group of connected borrowers must not exceed 25% of the Bank's Eligible Tier 1 Capital.

5.3 Real Estate & Capital Market Exposure Limits:

- Total Capital Market Exposure (CME): Capped at 40% of bank's net worth.
- Direct equity investment in corporate shares capped at 10% of bank's paid-up capital and reserves.

5.4 Unhedged Foreign Currency Exposure (UFCE):

Borrowers with unhedged FX exposures face mandatory incremental capital risk weights (20% to 100%) and incremental provisioning of 10 to 40 basis points based on projected annual FX volatility earnings loss.

SECTION 6: ESG DUE DILIGENCE & PRE-DISBURSEMENT CHECKLIST

6.1 Environmental & Social Risk Assessment:

Phase 1 Environmental Site Assessment (ESA) mandatory for all chemical, textile, mining, and heavy industrial units.
Consent to Establish (CTE) and Consent to Operate (CTO) from State Pollution Control Board mandatory prior to loan release.

6.2 End-Use of Funds Monitoring:

Direct disbursement into supplier/vendor accounts mandatory. Cash withdrawals or transfers to group affiliates strictly barred.
Quarterly Chartered Accountant certificate confirming end-use verification required for all credit lines > INR 1 Crore.

6.3 Pre-Disbursement Compliance Checklist (Sign-Off by Credit Committee):

[ ] 1. Sanction terms and debt covenants accepted in writing by borrower authorized signatories.
[ ] 2. Personal and Corporate Guarantees executed with verified net worth statements.
[ ] 3. First Charge registered with ROC (Ministry of Corporate Affairs) within 30 days of sanction.
[ ] 4. CERSAI security identification number generated and stored in loan records.
[ ] 5. Credit Life and Asset Insurance policies assigned in favor of the lending bank.